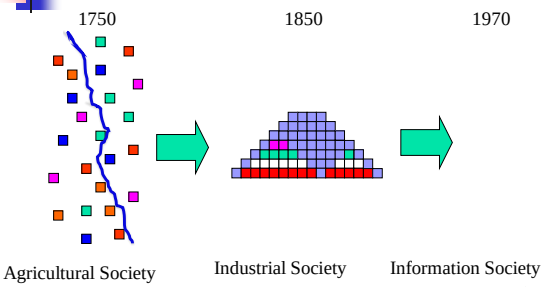
Social Transformation



1

Features of Agricultural Era
"*Six pillars*" Of Agriculture

I. Soil
II. Water
III. Climate
IV. Seed
V. Tools
VI. Peasants

Resources in the Agricultural Era

- Land & Natural resources
  - Labor (Workers)
  - Capital (Money, Machinery and Tools)
  - Knowledge (About Agriculture)

4

5

Augmenting Muscle Power

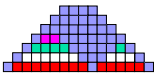
- Invention of the Steam engine
- Discovery of Electricity and invention of the electric motor
- Internal Combustion Engine
- Assembly Lines
- Automation

6

DNA of Industrial Society

Essential characteristics of the industrial society.

- Standardisation --> Mass production
- Specialisation --> Compartmentalised structures
- Synchronisation --> 9 to 5
- Concentration
- Maximisation
- Centralisation
- Optimisation



Industrial Society

Organizational and Management Structure of Industrial age Org.s

Adam Smith
Concept of Division of Labour
Ref. Wealth of Nations - 1766

The **specialization** and **concentration** of the workers on their single subtasks - greater skill and greater productivity on their particular subtasks

Henry Ford
Assembly Lines
Brought work to worker -1890

Alfred Sloan
Management Structures
Apply division of Labour to Management

Large Scale Strategic Planning
Monitoring divisional performance and Intervening to adjust plans and activities

Advantages of Division of Labour

- Learning Curve efficiencies
  - More repetitions - learning faster ways to perform task
  - More efficient in time, Increases productivity
  - Concentration on one repetitive task - more skilled
  - Steepening of the Learning Curve
  - Reduces the time needed for training - task is simplified
- Little time spent moving between tasks - Reduce idle time
- The overall quality of the product will increase
- Possible to influence how production takes place

Disadvantages of Division of Labour

- The worker does not feel responsible for the end result
- Lack of motivation: the quality of labour decreases while absenteeism may rise.
- Repetitive Motion disorder
- Growing dependency: a break in production may cause problems to the entire process.
- Loss of flexibility: workers have limited knowledge while not many jobs opportunities are available.
- Higher start-up costs: high initial cost to buy special machinery

Draw backs of Industrialisation

- **Inefficiency of large bureaucracies**
  - **Only a few are empowered to make decisions**
- **Environmental Impact**
  - **Acid rains**
  - **Pollution**
- **Social unrest**
  - **break up of the extended family**
  - **Assumption that workers are interchangeable**

Product Disruption:
Examples of Digitization Across Industries

Industry	Traditional Format		Digital Format
Product Substitution			
Recorded music	**LP records, tapes**	→	**CDs, MP3**
Journalism	**Newspaper, magazine, television, radio**	→	**Web site**

Product Digitization:
Examples of Digitization Across Industries

Industry	Traditional Format		Digital Format
Service Substitution			
Banking	Cash, check	→	Smart card, web banking and payment systems
Photo-finishing	Film to paper	→	Digital to paper, film to digital

Lecture 4

Management

Ethics and Professional Issues

Dr. Shiromi Arunatileka
Senior Lecturer/UCSC

What Next ?

Agricultural Society
→ Industrial Society
→ Information Society
→ Knowledge Society ?
→ AI Society ?

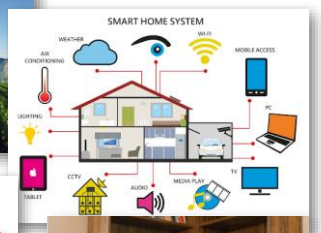
A Knowledge Society

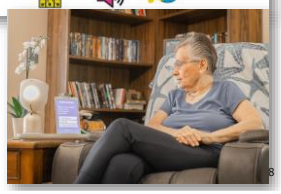
We are entering a knowledge society in which the basic economic resource is no longer capital, or natural resources, or labour, but is and will be knowledge and where knowledge workers will play a central role.

(Peter Drucker)

Major Trends in the Knowledge based Economy

- Every industry is becoming knowledge intensive – Agriculture – growth patterns, satellite photos, weather forecasts, automatic measuring of moisture, weight,etc. using drones to spray fertiliser/pesticides, etc.
- The development of smart products – products that can take their own decisions depending on situations
- Information is more expensive than physical resources – The electronics in cars more expensive than metal
- Value in intangibles – Not recorded by traditional accounting methods- know-how, info. Systems, brands
- Trade in intangibles – the services that go with products are as valuable as the products themselves





World is Connected!
News Travels Faster than ever!

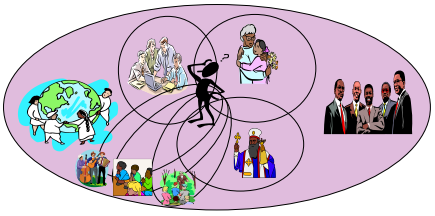
19

The Importance of Ethics

Ethics is the practice of making a principled choice between Right and Wrong!

ETHICS AND ETHICAL DECISION MAKING

- **COMPETING FACTORS IN DECISION MAKING**



THE TYPES OF ETHICAL CHOICES

- **COMPUTER ETHICS AND REGULAR ETHICS**
  Violation of copyrights, Privacy issues, etc.
- **Choosing Right from Wrong**
  Cheating, lying about projects vs. Truth
  Privacy of info. Vs. Profit making
- **Choosing Right from Right**
  Security vs. Convenience
  User friendliness vs. Controls
  Fully test s/w vs. On-time delivery

Legality vs. Ethicality

	Legal	Not Legal
Ethical	I	II
Not Ethical	III	IV

I = An act that is Ethical and Legal
II = An act that is Ethical but not Legal
III = An act that is not Ethical but is Legal
IV = An act that is not Ethical and not Legal

Ethics vs. Law

Law	Ethics
Formal, written document	Unwritten principles
Interpreted by courts	Interpreted by each individual
Established by legislatures	Presented by philosophers, religious, professional groups
Applicable to everyone	Personal choice
Priority decided by court	Priority determined by individual
Court makes final decision	No external decision maker
Enforceable by police and courts	Limited enforcement

24

	Legal (Not Illegal)	Not Legal
Ethical	* Driving with a licence * Proper salary structure for employees * Leading by example * Truthful living	* Casual adoption of a homeless child * Euthanasia - Assisted suicide for people who are suffering and terminally ill (???) * Abortion (??)
Not Ethical	* Breaking a verbal promise * Nepotism * Suicide * Abortion (??) * Death penalty	* Sexual harassment * Rape * Physical abuse * Theft * Murder * Ragging

Using Informal Guidelines to make Ethical Decisions

- The Mom Test
- The TV Test
- The Smell Test
- The Other Person's Shoes Test
- The Market Test

- **The Mom Test -** Discovers simply whether the individual would be proud or ashamed of an action, whether they would tell their mother what they did.
- **The TV Test -** Attempts to determine how the individual would feel if they saw their situation described on TV, whether their action would make them good or bad. How would millions of TV viewers react?
- **The Smell Test -** Simply asks whether the situation smells – gut feeling matters. Does the individual feel bad that there is a problem, but cannot pin it down. Does your instincts tell you that something is wrong?

- **The Other Person's Shoe Test – The Golden rule -** Discovers actions that violate the ethical concept of the public interest. It asks what if the roles were reversed? Would the individual be happy if the act were done to them? If the individual would not want the roles reversed, then there is probably something wrong.
- **The Market Test –** What if the whole market or the majority of the society does the same thing. Would publicizing their action reap praise or criticism for their organisation? If the answer is criticism the action is deemed to be unethical.

10 Commandments of Computer Ethics

1. Thou shalt not use a computer to harm other people.
2. Thou shalt not interfere with other people's computer work.
3. Thou shalt not snoop around in other people's computer work.
4. Thou shalt not use a computer to steal.
5. Thou shalt not use a computer to bear false witness.
6. Thou shalt not copy or use proprietary software for which you have not paid.

Computer Ethics Institute

10 Commandments of Computer Ethics

7. Thou shalt not use other people's computer resources without authorisation or proper compensation.
8. Thou shalt not appropriate other people's intellectual output.
9. Thou shalt think about the social consequences of the program you are writing or the system you are designing.
10. Thou shalt always use a computer in ways that insure consideration and respect for your fellow humans.

Computer Ethics Institute

The Difficulties Information & Communication Technologies Pose

- Speed of Communication
- E-Information is more "fragile" – property rights? Plagiarism? Piracy? Privacy?
- Protection of Information integrity, confidentiality and availability vs. benefits of info. Sharing

ISSUES RELATING TO THE WORKPLACE

- Ergonomics
- Monitoring
- Issues of Data Collection, Storage/Access
- Issues about Electronic Mail
- Resource Exploitation Issues

  - Planting Viruses, Hacking, Planting logic bombs
  - Using an employer's computer for personal gain
- Vendor- Client Issues
- Issues of Computer Crime

Web based Crime

- Security and Privacy of personal information and copyright issues
- Online theft, hacking, distribution of pornography, gambling
- Terrorism and warfare coordinated through the Internet

Ask yourself these questions when you are proposing to conduct business on the Internet

- Are you hiding some facts because you fear disapproval?
- Are you purposely colouring facts to bias your message?
- If what you were doing was done to you, would you feel upset?
- Could anyone object to your action as unfair?
- Will anyone be harmed by your action?
- Do you feel the need to rationalise your behaviour?
- Could a destructive trend or practice evolve?

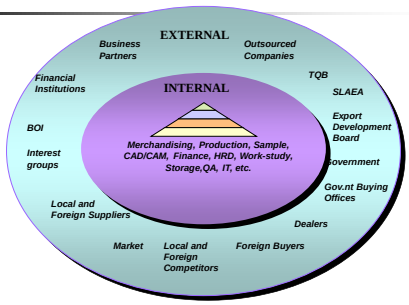
If the answer to any of the earlier questions is "**YES**", **then you should reconsider your proposed action!!!**

Lecture 5

Fundamentals of Management

Internal & External Environment

The Natural Environment of Organisations Eg: Garment Sector



External Environment

- Customers
- Government
- Suppliers
- Special Interest Groups
- Media
- Labour Unions
- Competitors
- Financial Institutions

Internal Environment

- Employees
- Board of Directors
- Shareholders
- Systems
- Structure
- Strategies
- Shared values
- Staff and skills

Analyzing the External Environment

PEST Analysis
- Political
- Economical
- Social
- Technological

SWOT Analysis
- Strengths
- Weaknesses
- Opportunities
- Threats

Porter's Forces
- New Entrants
- Suppliers
- Customers
- Competition
- Substitutes

PEST – Political Variables

- Factors that may influence an organisation's activities as a result of the political process or climate
  - Environmental regulations
  - Tax policies
  - International Trade regulations/restrictions
  - Consumer protections laws
  - Employment laws (Child labor)
  - Political Stability
  - Safety Regulations

PEST – Economic Variables

- General economic conditions and trends that may that may be factors in an organization's activities
  - Economic Growth
  - Interest rates and monetary policies
  - Government spending
  - Unemployment policy
  - Exchange rates, taxes
  - Inflation rates
  - Consumer confidence

PEST – Social Variables

- Factors such as demographics, lifestyle, and social values, that may influence an organization from it's external environment
  - Income distribution
  - Age distribution, Population growth rate
  - Work/Career and leisure attitudes
  - Fashion, hypes
  - Health consciousness
  - Living conditions

PEST – Technological Variables

- New developments in products and processes as well as advances in science that may affect an organization's activities
  - Government research spending
  - Industry focus on technological effort
  - Rate of technology transfer
  - Energy use and costs
  - Internet and Mobile technology effects
  - State-of-the-art tech and speed of obsolence

SWOT Analysis

This is a strategic planning tool used to evaluate the *S*trengths, *W*eaknesses, *O*pportunities, and *T*hreats involved in a project or in a business venture.

Strengths and weaknesses

- Resources: financial, intellectual, location
- Cost advantages from proprietary know-how
- Creativity/ ability to develop new products
- Valuable intangible assets: intellectual capital
- Competitive capabilities

Opportunities and threats

- Takeovers
- Market Trends
- Economic condition
- Mergers
- Joint ventures
- Strategic alliances
- Expectations of stakeholders
- Technology
- Public expectations
- Competitors and competitive actions
- Poor Public Relations Development
- Criticism (Editorial)
- Global Markets & Environmental conditions

SWOT Analysis

Strengths	Weaknesses
1. In business for over 16 years 2. Former bakery owner has started the business – experience 3. There are branches in heavily populated cities such as Wellawatta, Rajagiriya, Maharagama, Malabe, Nugegoda and Negombo. 4. Son studies bakery business abroad and has knowledge in the Industry . 5. Products include a variety of bread, buns, cakes, cupcakes, brownies, rolls, muffins, cookies, pastries and a wide range of easy breakfast / lunch /dinner products. 6. Focus on quality + customer satisfaction. 7. The vision of DELISH is "to be the most preferred baker in the country". 8. Investment in latest technology at start 9. Has a web based administrative solution to monitor process from head office. 10. Five branches in strategic locations	1. No web based solution for product ordering. 2. No online payment system hence badly affected due to lockdowns. 3. Machines which were state of the art may be outdated now. 4. Outdated business strategies and took too much time to change. 5. No use of social media strategies for marketing as it is a very strong tool in eMarketing.

48

SWOT Analysis

Opportunities

1. High demand for fast food
2. High demand for takeaway main meals
3. Diabetic Products / Low calorie products
4. Nutritious bread and healthy products
5. Good strategy of expanding in to other locations
6. Drive-through for takeaway customers
7. Commencing Home delivery service
8. Introducing large scale catering for functions
9. Collaborations with beverage companies
10. Collaborate with supermarket chains and Café's.
11. Opening branches in collaboration with supermarkets and clothing shops as kiosks.
12. Opening new branches in franchise with cafes, universities and schools
13. Social Media presence & marketing at a higher level
14. Focus on Corporate bulk ordering.
15. Fully fledged eBusiness solution with online ordering, corporate bulk ordering, online payments and cash/credit handling with their customers.

Threats

1. Very competitive industry
2. Long standing competitors
3. New competitors coming in to the industry
4. Competitors new strategies - home delivery and large scale catering
5. Newcomers' collaborations with beverage companies
6. Competitors collaborations with supermarkets /Café's
7. Covid-19 pandemic effecting all businesses
8. Lockdowns and Curfew effecting business badly.
9. Economic Crisis hit SL.
10. Crisis situation due to corrupted politicians and people protesting against these corruptions.

Assessment Criteria

Final Exam – Case study + 3 Questions

Project

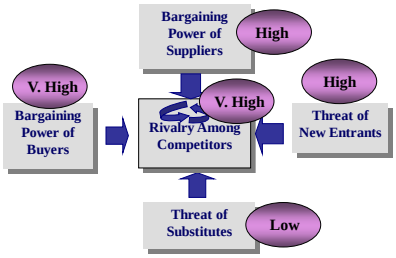
- **Select a Company**
- **Study the Industry Sector**
- **Study the Company**
- **Study the Competitors**
- **Develop a Business/Marketing Strategy for the Company**

Formal Business Report – 20% | **20 mnt Presentation – 20%**

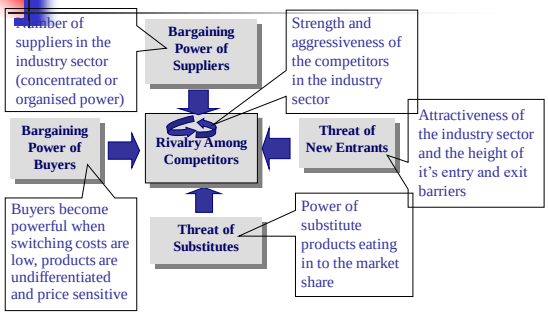
Using Informal Guidelines to make Ethical Decisions

- The Mom Test
- The Partner Test
- The TV Test
- The Smell Test
- The Other Person's Shoes Test
- The Market Test

Analyzing the External Environment



Micheal Porter's Five Forces



Bargaining Power of Suppliers

Suppliers have the most power when:

- The inputs you require are available only from a small number of suppliers.
- The inputs you require are unique, making it costly to switch suppliers.
- Your input purchases don't represent a significant portion of the supplier's business.
- Suppliers can sell directly to your customers, bypassing the need for your business.
- It is difficult for you to switch to another supplier due to credit facilities and easy payment schemes.

Reducing the Bargaining Power of Suppliers

- Reduce inventory costs by providing just-in-time deliveries
- Speed the adoption of new technologies
- Forming a buying group of small producers to buy as one large-volume customer.
- choose to integrate back and produce your own inputs by purchasing one of your key suppliers or doing the production yourself.

55

Bargaining Power of Buyers

Buyers have the most power over you when:

- They are large and purchase much of your output.
- Many small customers acting as a group creates force.
- Your industry has many small companies supplying the product and buyers are few and large.
- The products represent a relatively large expense for your customers
- Customers have access to and are able to evaluate market information.
- Your product is not unique and can be purchased from other suppliers.
- Customers could possibly make your product themselves.
- Customers can easily, and with little cost, switch to another product.

56

Reducing the Bargaining Power of Buyers

- Create a Unique Brand Image
- By increasing their loyalty to your business through partnerships or loyalty programs,
- Selling directly to consumers
- Increasing the inherent or perceived value of a product by adding features or branding.
- select the customers who have little knowledge of the market and have less power, you can enhance your profitability.

57

Products with Highest Brand Image

58

Cars with Highest Brand Image

59

Cars with Highest Brand Image

Threat of New Entrants

The threat of new entrants is greatest when:

- Processes are not protected by regulations or patents.
- Customers have little brand loyalty.
- Start-up costs are low for new businesses entering the industry.
- The products provided are not unique.
- can easily liquidate their inventory & assets if the venture fails.
- Switching costs are low.
- The production process is easily learned.
- Access to inputs is easy.
- Access to customers is easy
- Economies of scale are minimal.

61

Reducing the Threat of New Entrants

- Enhancing your marketing/brand image,
- utilizing patents
- creating strategic alliances with associated products
- demonstrating your ability and desire to retaliate to potential entrants
- setting a product price that deters entry

62

Threat of Substitutes

Substitutes are a greater threat when:

- Product has no unique brand image
- Your product doesn't offer any real additional benefit compared to other products.
- It is easy for customers to switch.
- Customers have little loyalty.

63

Reducing the Threat of Substitutes

- differentiating your product by branding – Create a Unique Brand Image
- by using tactics such as staying closely in tune with customer preferences
- collective advertising for an industry
- Value added products taking your products to a different market

64

Rivalry Among Competitors

The most intense rivalries occur when:

- One firm or a small number of firms have incentive to try and become the market leader.
- The market is growing slowly or shrinking.
- There are high fixed costs of production
- Products are perishable and need to be sold quickly.
- Products are not unique or homogenous. Undifferentiated products (commodities)
- Customers can easily switch between products.
- There are high costs for exiting the business

65

Reducing the Threat of Rivals

To minimize price competition

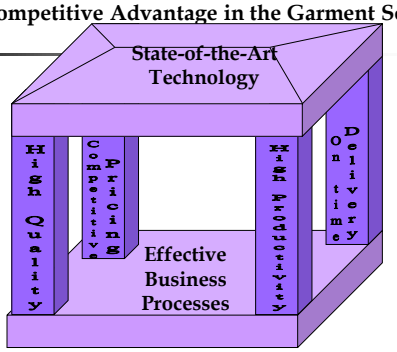
- distinguish your product from your competitors' by innovating/improving features.
- Create a Unique brand image
- focusing on a unique segment of the market
- distributing your product in a novel channel
- form stronger strategic relationships
- Build customer loyalty.

66

Business Goals & Strategies

- **Survival** -Companies in deep trouble and need re-engineering, they have no choice.
- **Sustainability** - Not yet in trouble, but, has the foresight to see trouble coming. They need to be proactive.
- **Growth** - Ambitious and aggressive. Reengineering is an opportunity to further their lead over the competitors.

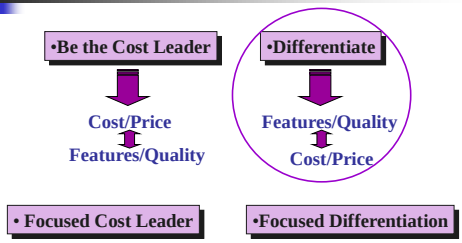
Critical Success Factors which give the Competitive Advantage in the Garment Sector



What are Business Strategies ?

- Product Differentiation (Value-added)
- Strategic Alliances
- Product Bundling
- Horizontal Integration
- Marketing
- Pricing Strategies
- Customer Relationship Mgt. (CRM)
- Expand Product Line, etc.

Goals, Directions, Strategies and Competitive Advantage



Strategic Positioning

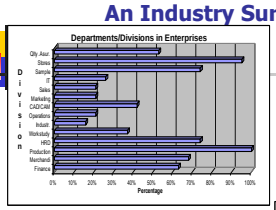
Do you [illegible] n there was [illegible] aste?

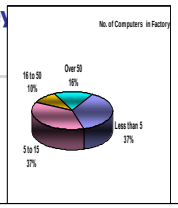
- You [illegible] elect from [illegible].
- Toc [illegible] ns:
  - [illegible]
  - [illegible]
  - [illegible]
  - t [illegible]
  - tc [illegible]
  - To [illegible]
  - tar [illegible]
  - sen [illegible]
  - gels, [illegible]
  - striped (mixe [illegible]
  - and endless combi [illegible] e-above.

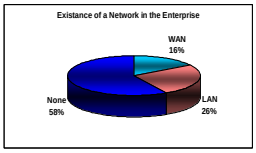
Business Strategies and Models – Old and New

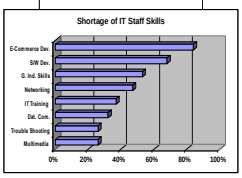
Old Model	Online Model
Physical Operations Own core competencies Geographical Coverage Physical location is critical	Online Operations Collaborative competencies Global/International coverage Online location is critical
Distribution, retail, wholesale,etc.	E-intermediaries such as Information, market, service 'mediaries'
Barriers to entry – Brand, channels, locations, costs, relationships	Barriers to entry – Brand name, 1 : 1 relationships, Quality of service
High switching costs – specialised technology, skills	Low switching costs – standardised online technology and skills, short ***PLC***
Difficult to attain global presence	Relatively easy to attain global presence
Organisation has IT as function	Organisation has IT as strategy

An Industry Survey









Business Goals & Strategies

- **Survival** -Companies in deep trouble and need re-engineering, they have no choice.
- **Sustainability** - Not yet in trouble, but, has the foresight to see trouble coming. They need to be proactive.
- **Growth** - Ambitious and aggressive. Reengineering is an opportunity to further their lead over the competitors.

The Hierarchy of Plans

Mission Statement

Broad organisational Goal – based on Organisations purpose, Competencies and place in the world

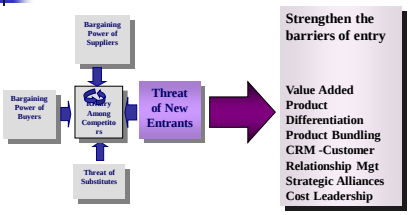
Strategic Plans

Plans designed to meet broad organizational goals – long term, wide scope and simple

Operational Plans

Plans that contain details For carrying out or Implementing those strategic plans in daily activities

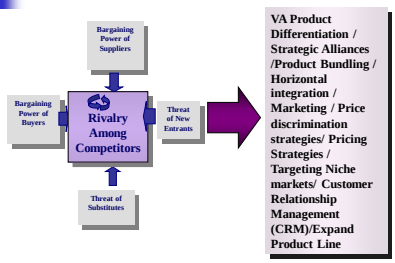
Threat of New Entrants



Micheal Porter's Five Forces

Business Strategies

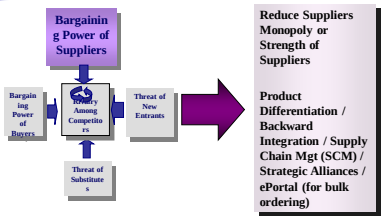
Rivalry Among Existing Firms



Micheal Porter's Five Forces

Business Strategies

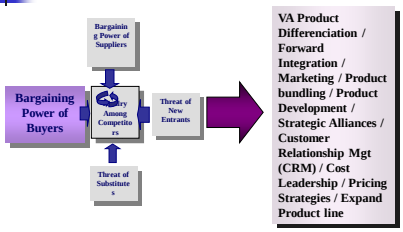
Bargaining Power of Suppliers



Micheal Porter's Five Forces

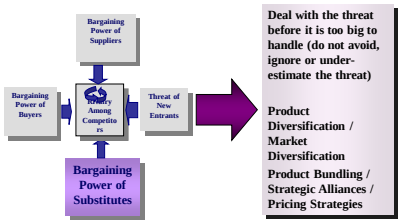
Business Strategies

Bargaining Power of Buyers



Micheal Porter's Five Forces Business Strategies

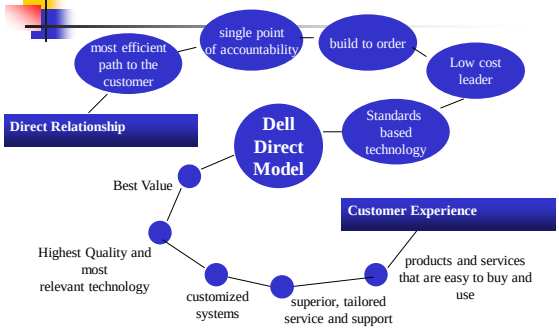
Bargaining Power of Substitutes



Micheal Porter's Five Forces Business Strategies

Business Goals/Strategies

Force	Business Strategies
Threat of New Entrants	Product Differentiation / Product Bundling / Customer Relationship Mgt (CRM)/Strategic Alliances / Cost Leadership
Rivalry among existing Firms	Product (Value-added) Differentiation / Strategic Alliances /Product Bundling / Horizontal integration / Marketing / Price discrimination strategies/ Pricing Strategies / Targeting Niche markets/ Customer Relationship Management (CRM)/Expand Product Line
Threat of Substitutes	Product Diversification / Market Diversification Product Bundling / Strategic Alliances / Pricing Strategies
Bargaining Power of Suppliers	Product Differentiation / Backward Integration / Supply Chain Mgt (SCM) / Strategic Alliances / ePortal (for bulk ordering)
Bargaining Power of Buyers	Product (Value Added) Differenciation / Forward Integration / Marketing / Product bundling / Product Development / Strategic Alliances / Customer Relationship Mgt (CRM) / Cost Leadership / Pricing Strategies / Expand Product line

Dell – Direct Model

Beginning with Customer - Ending with Customer